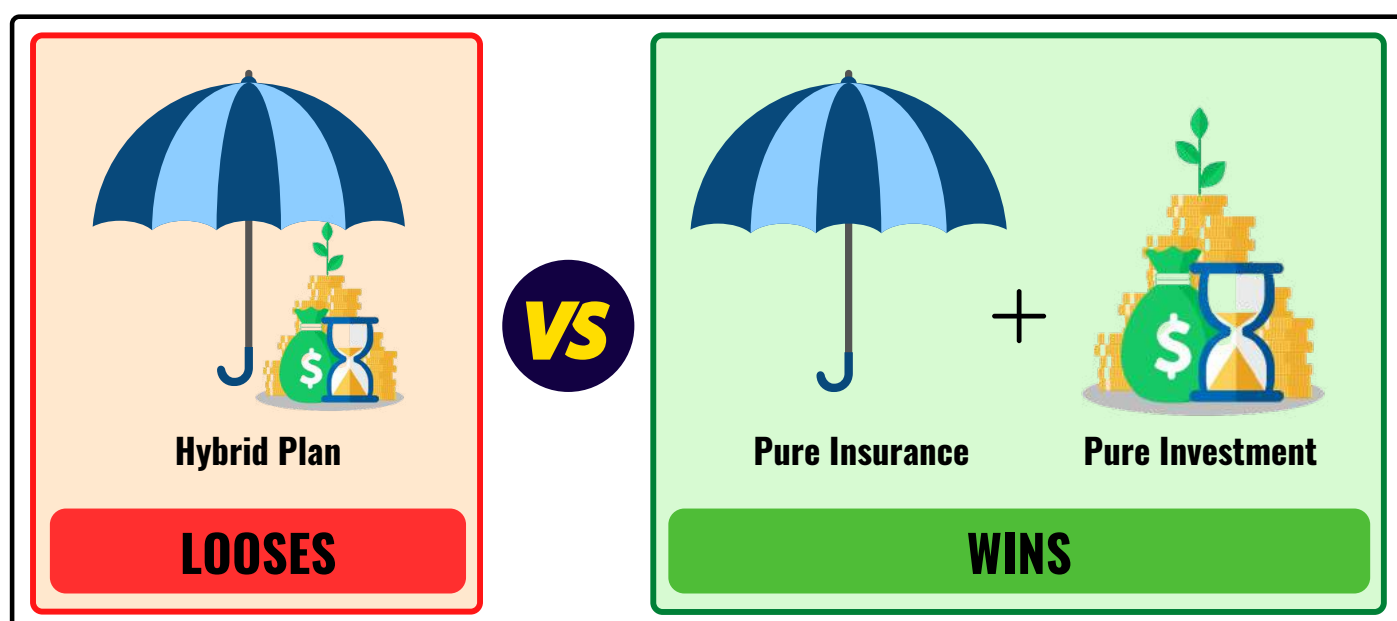


Now that we know what insurances, let us understand what insurances are not. Insurances are often advertised and promoted as Investments products as well. Insurances are not Investments.

Currently, Insurance companies sell products that have investment value attached to them as well. For instance, you pay life insurance premium for 20 years and you will get a fixed amount at the end of 20 years. What are the companies effectively doing? They are protecting you, but also mixing the same with an investment product. That means, a part of your premium goes for your protection, whereas another part goes as EMI for the payback at the end.

With such policies, you are not just getting yourself insured, but are also paying for Investment Returns. However, the problem with such policies is that the math of it is just too complex for a common person to understand and if we break it down, the returns that we get are often lower than fixed deposit returns as well. That means we are investing in a relatively asset class and getting less than lowest of the market returns. And the math of it is so complicated, that it is impossible for a common person to do it.

Whenever, we talk about insurance needs going forward, we will always discuss about Pure Insurance Products and not those that have investment value attached to it.



A better way to look at pure insurance away from investment features added to the same is that, for a hybrid product, whatever coverage you are getting, get that coverage for a policy that does not pay back at the end, and whatever premium you are saving, invest that in an Investment product. You will see that at the coverage is also in place and the exit return is also higher.

The reason behind this happening is, if people pay premium for many years and the risk does not materialize, they start seeing the premiums as waste of money, not realizing what the insurance is doing by covering their risks of huge losses. However, with true insurance our money does get wasted if the risk does not materialize.